ENIAC’s expansion to Brazil

By Elena, Martin, Zahra and Julien

Are we ready to enter a 200-million-customer market with the help of Magist's?

Domain Research in Brazil

Apple represents 6%

of smartphone ‘s market

Source: https://counterpointresearch.com/

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Unique Political and
Transport situation

Source: https://counterpointresearch.com/

Magist in numbers for Tech products

2018 Revenue:

€3 M

Eniac's products

Yearly Revenue:

€14M

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Avg mtl. revenue :
€250K

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Magist in numbers for Tech products

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€250K

Avg. order price:
€130

Eniac's products

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Avg item price:
€132

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Yearly Revenue:
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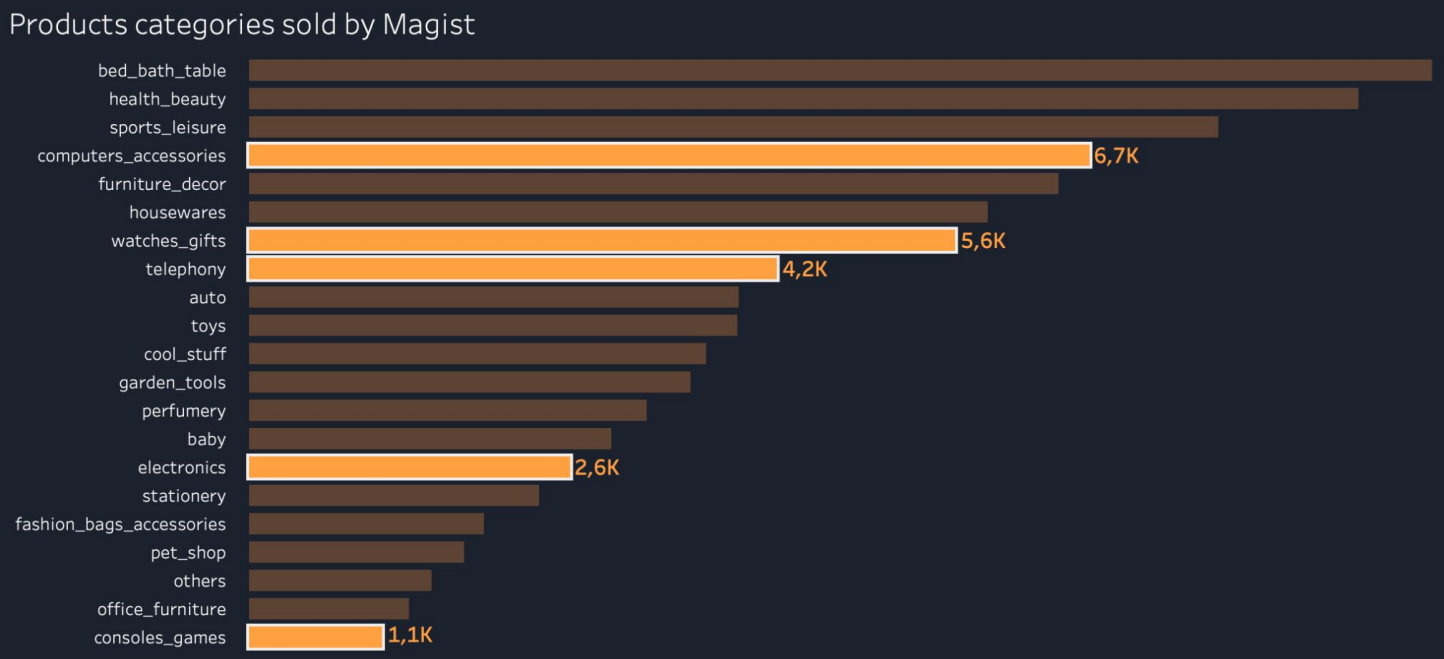
Avg mtl. revenue :
€1.17M

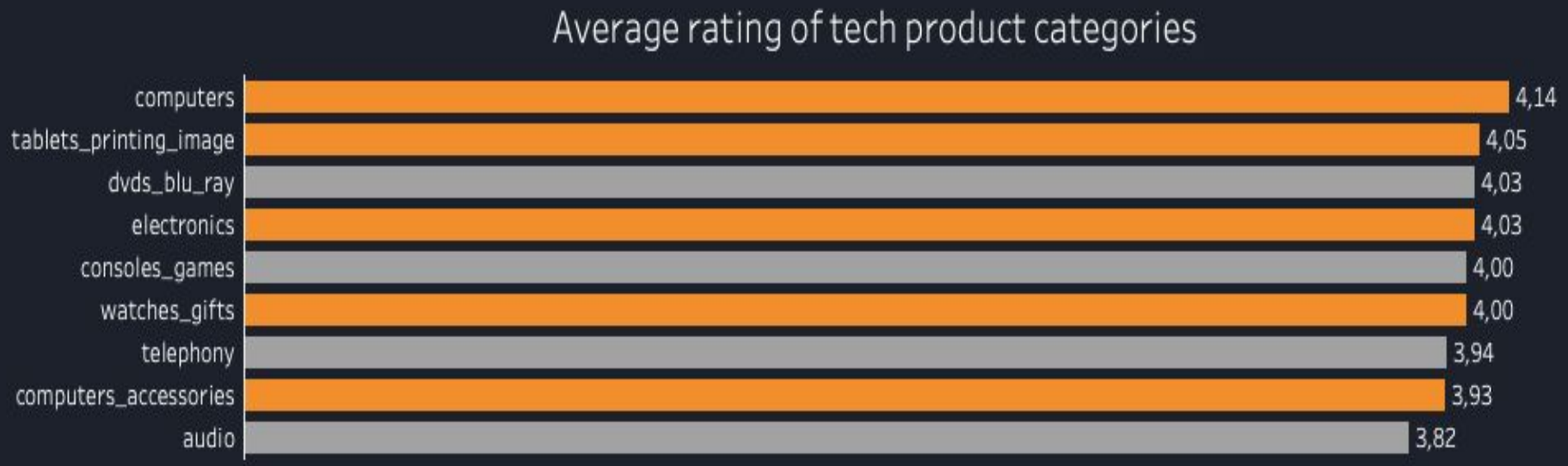
Avg. order price:
€710

Avg item price:
€540

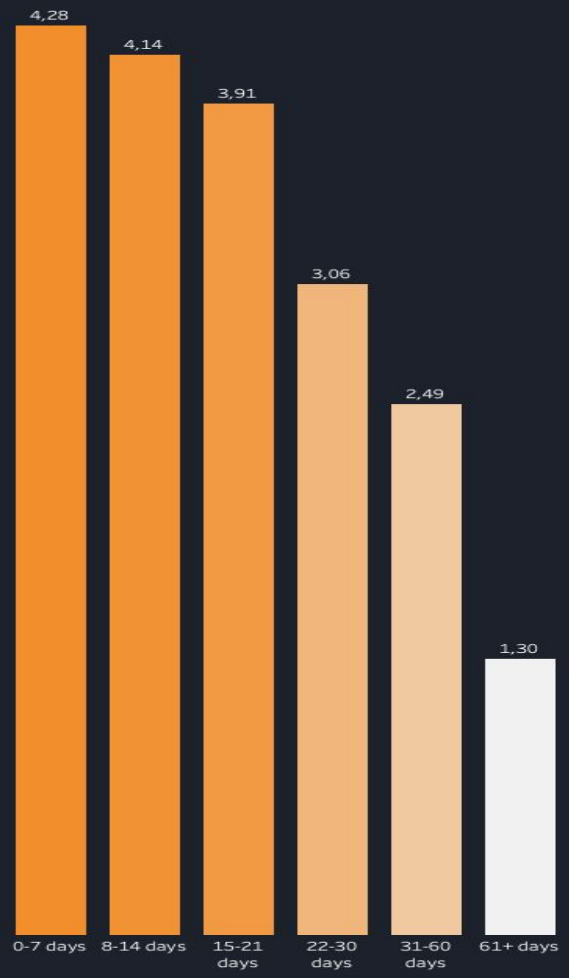
Tech products sold by Magist

15 % of products sold are tech products



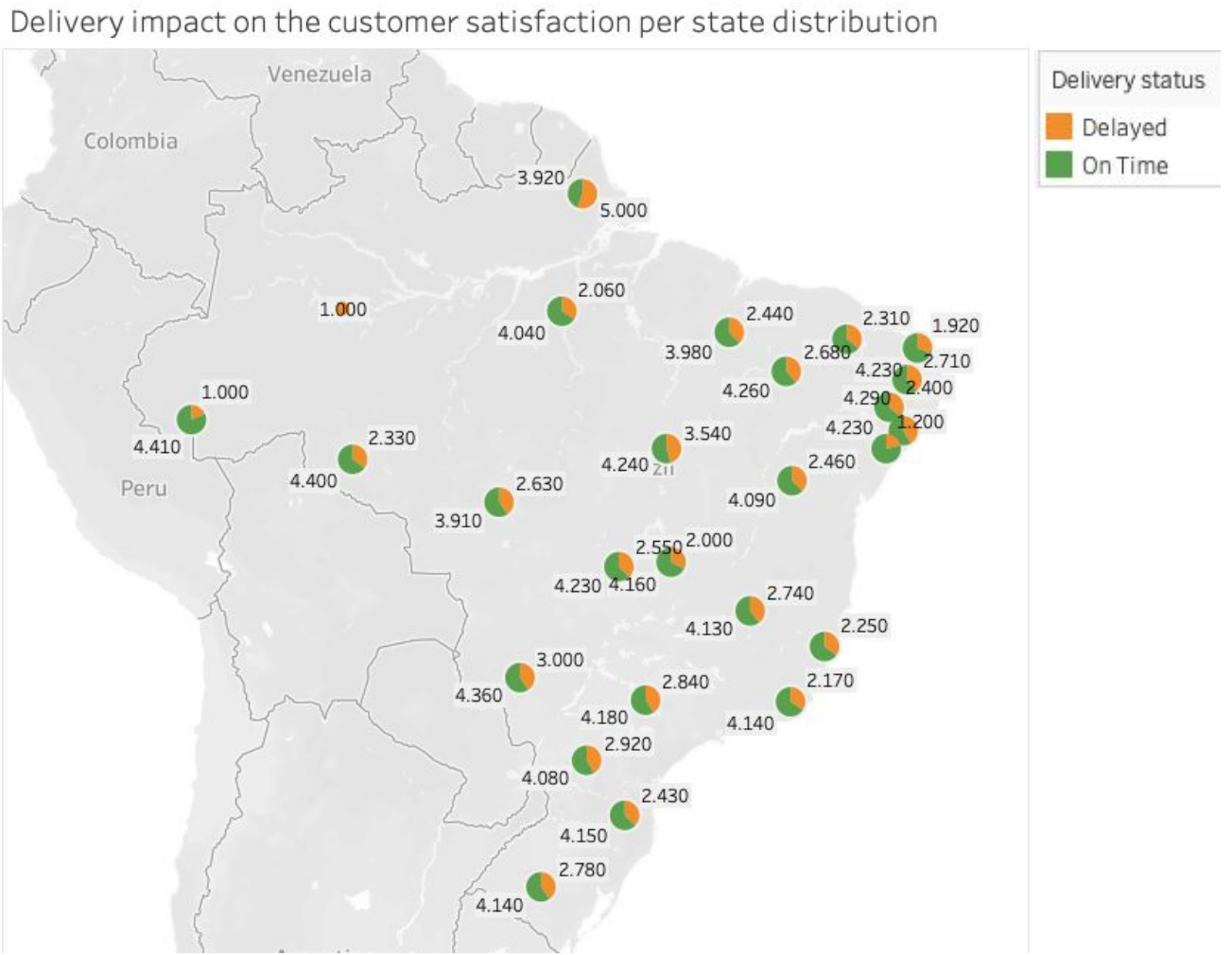

Average rating of tech product categories
computers
tablets_printing_image
dvds_blu_ray
electronics
consoles_games
watches_gifts
telephony
computers_accessories
audio
4,14
4,05
4,03
4,03
4,00
4,00
3,94
3,93
3,82

Delivery period directly impacts customer satisfaction



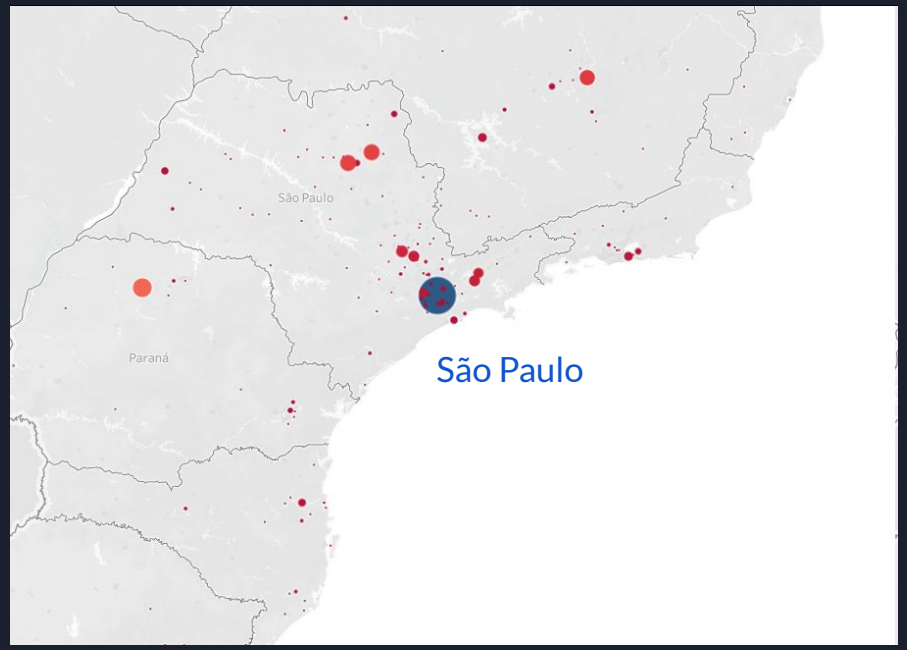
RISK FACTORS

- Infrastructure Deficits, poor roads condition
  (Amazon rainforest)
- Long distance from distribution channels
- Truckers' Strike Impact (May 2018)



Source: [Problems of transportation and logistic challenges in NORTHERN BRAZIL]

Where is our target audience located?



Number of Tech Products ordered on Magist

Conditions for a Successful Partnership with Magist

Limited Trial Phase

- 1 year contract
- Quarterly performance evaluation

São Paulo

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Premium Performance Standards

- Monitoring delivery performance
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Brand & Risk Protection

- Insurances for products
- Build our own customer service within 1 year timeframe

São Paulo

Questions?

Appendix

01 Reason of choosing the top 5 cities to start- the majority of sales are concentrated in the following states: Sao Paulo, Parana, Minas Gerais, Rio de Janeiro, Bahia

02 Products theft: Cargo theft reached critical levels during this period. About 85% of thefts occurred in the Southeast, with the states of Rio de Janeiro and São Paulo accounting for roughly 41% and 39% of incidents, respectively

03 The 2018 Brazil truck drivers' strike was a nationwide logistics shutdown that began in May 2018 in Brazil.
What happened?

- Highways were blocked across the country
- Fuel shortages spread nationwide
- Supermarkets and pharmacies faced supply gaps
- Airports experienced fuel constraints
- Manufacturing plants temporarily halted production

Apple product taxation:

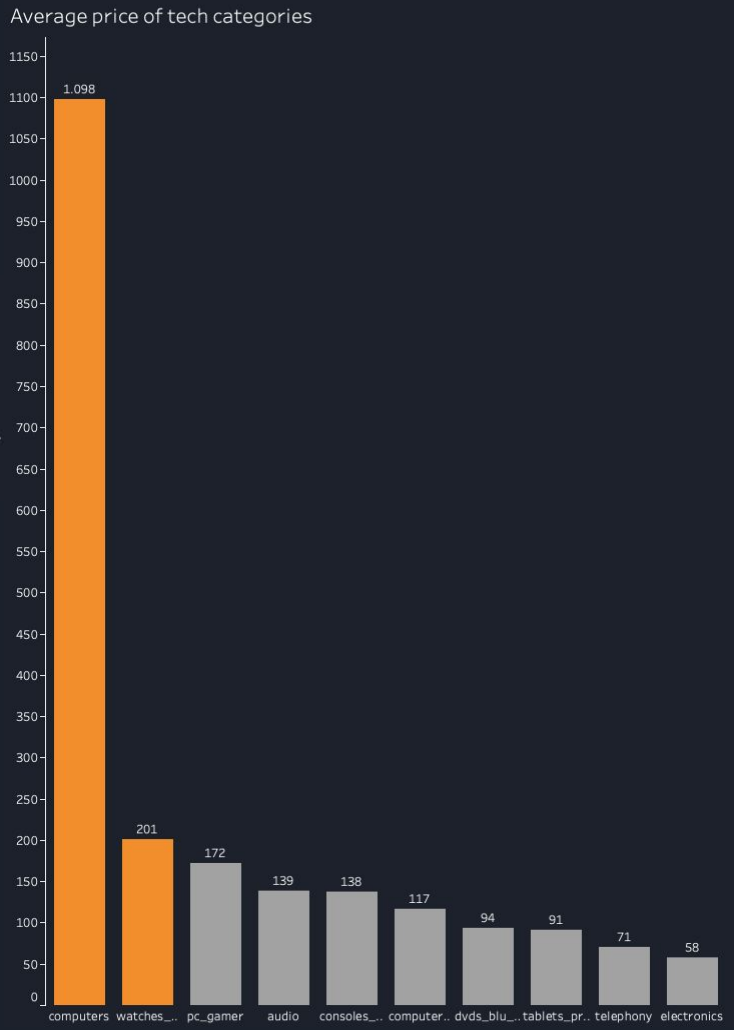
In 2018, Apple products in Brazil were subject to extremely high taxation and import duties, making them among the most expensive in the world. The high prices were driven by a combination of import taxes, federal taxes (IPI, PIS/COFINS), state-level taxes (ICMS), and, to a lesser extent, local assembly costs.

Import Duty (II) – Federal customs tariff on imported goods (generally around 10–20%, possibly higher depending on the specific tariff classification).

IPI (Industrialized Product Tax) – Federal excise tax applied at customs; for electronics like Apple devices it typically ranged up to about 15%.
PIS & COFINS (Federal Social Contributions) – Together usually around ~9.25% (1.65% PIS + 7.6% COFINS).
ICMS (State Sales Tax) – A state value-added tax on imported goods that can vary by state (often 17–18%, but up to ~25%), and is applied on the product's value including the other taxes (making its effective burden even higher).

2018 - iPhone 3G price was higher in Brazil than the rest of the world: (711 euros in Brazil and 399 to 449 euros in the US or Europe)

Comparision of average review score of all Magist products and tech product categories
Avg Review All Products
Avg Review Tech Products
0.0
0.5
1.0
1.5
2.0
2.5
3.0
3.5
4.0


Average price of tech categories
1150
1100
1050
1000
950
900
850
800
750
700
650
600
550
500
450
400
350
300
250
200
150
100
50
0
1.098
201
172
139
138
117
94
91
71
58
computers
watches_...
pc_gamer
audio
consoles_...
computer...
dvds_blu_...
tablets_pr...
telephony
electronics

Political situation: , Brazil's political situation was defined by extreme instability. 2018 Election Cycle: **The 2018 presidential race**, ultimately **won by Jair Bolsonaro**, was marked by intense political polarization and widespread disinformation. **This uncertainty caused consumers to become more cautious with spending, often delaying major online purchases**.

Product_per_categ...	Product_category_name_english
3029	bed_bath_table
2867	sports_leisure
2657	furniture_decor
2444	health_beauty
2335	housewares
1900	auto
1639	computers_accessories
1411	toys
1329	watches_gifts
1134	telephony
919	baby
868	perfumery
849	fashion_bags_accessories
849	stationery
789	cool_stuff
753	garden_tools
719	pet_shop
610	others
517	electronics